

Shipping and Maritime Management (Interview)

Ship Management

Exercise 1

INTRODUCING A RELATED TOPIC

Let's look at risk for a moment.

Moving on then.

Let's take the ship owner first...

I suppose the first thing to say is...

REFLECTING BACK

As I mentioned earlier...

We began this interview...

As I said right at the start...

CONTINUING THE SAME TOPIC

We see this in several ways

The point I'm making is that...

One example that we have is...

What I mean by this is...

In other words...

In another example...

Perhaps one of the most obvious examples is ...

CLOSING A TOPIC

To sum it up...

SIDE COMMENTS

We could talk about this later perhaps.

I won't go into that in detail at the moment.

I can come back to that point later.

Exercise 2

Ship management is really an **umbrella** term

The ship manager must be able to **tailor** the services to the needs...

The vessel's **ownership** is separate from the management company.

Ship management is subject to intense **competition**.

Cost effectiveness is also an important aspect of ship management.

The services provided are related to all aspects of daily vessel **operations**.

A ship manager must maintain **efficiency**.

Ship management is the supply of a single or a **range** of services.

Exercise 3

When did you first go to sea?

- **I first went to sea in 1974.**

What was your rank when you first went to sea?

- **I was a deck cadet.**

Did you see the world?

- **Yes, I travelled the oceans of the world.**

How long have you been working in shipping management?

- **I have been working in shipping management since 1985.**

Have you seen any changes since your early days?

- Yes, **I have seen many changes in ship design**, technological equipment and management practices.

How would you describe your job over the years?

- **My job has always remained fascinating and challenging.**

Shipping and Maritime Management

Antwerpia Shipping

Exercise 1

Antwerpia Shipping n.v. was established in 1965 and offers services related to the chartering of motor vessels, otherwise known as **ship chartering**. It serves as an efficient link for **commerce** from or through Antwerp to various worldwide destinations. Antwerpia Shipping acts as ship agents, brokers, ship charterers and **bunkering agents** operating from a centrally located office in the city of Antwerp, Belgium. Antwerpia Shipping specialises in **tramp traffic** and can arrange movements of **cargoes** within the Mediterranean, U.K. and the North continent to various destinations. It operates a twice monthly conventional service from Tallin and Helsinki to Antwerp. Antwerpia Shipping offers a monthly **conventional** and **container** service from Antwerp to Helsinki. **Transshipment** is catered for by companies in the stevedore business.

Shipping and Maritime Management

Chartering a Ship – definitions (Reading Comprehension)

Exercise 1

shipper	individual or company with cargo to transport
charterer	individual or company who hires a ship
charter-party	contract setting out the terms under which the shipper contracts for the transportation of his cargo or the charterer contracts for the hire of a ship
voyage charter	a ship earns freight per ton of cargo transported on terms set out in the charter-party which specifies the precise nature and volume of the cargo, the part(s) of loading and discharge and the laytime and demurrage. All costs paid by the shipowner
consecutive voyage charter	a vessel hired to perform a series of consecutive voyages between A and B

Exercise 2

COA	Shipowner undertakes to carry quantities of a specific cargo on a particular route or routes over a given period of time using ships of his choice with specific restrictions
period charter	The vessel is hired for a specified period of time for payment of a daily, monthly or annual fee. There are three types, time charter, trip charter and consecutive voyage charter
time charter	Ship earns hire monthly or semi-monthly. The shipowner retains possession and mans and operates the ship under instructions from the charterer who pays the voyage costs
trip charter	Fixed on a time charter basis for the period of a specific voyage and for the carriage of a specific cargo. Shipowner earns 'hire' per day for the period determined by the voyage
bare boat charter	The owner of the ship contracts (for a fee, usually long-term) to another party for its operation. The ship is then operated by the second party as if he owned it

Shipping and Maritime Management

Chartering a Ship (Telephone Conversation)

Exercise 1

What is a refrigerated cargo vessel?	A vessel designed for the carriage of cargoes such as fruit, meat and other fresh produce which require transportation at low temperatures.
How would you describe a RoRo vessel?	A vessel designed for a specific system of loading and discharging whereby the cargo is driven on and off by means of a ramp.
What is a Very Large Crude Carrier, otherwise known as a VLCC?	A vessel designed for the carriage of liquid cargo in bulk with a loading capacity from 50.000 till 250.000 DWT.
How would you describe a general cargo ship?	A vessel designed for the carriage of certain overweight and oversize cargoes which cannot be held in containers.
What is a refrigerated cargo vessel?	A reefer.
How would you define a dry bulk carrier?	Carrier consisting of a cargo-carrying structure, firmly secured within a framework, for the carriage of dry solids in bulk without packaging.
What is a tanker?	A vessel designed for the carriage of liquid cargo in bulk.

Exercise 2

It was 100,000 tons of grain, ...	wasn't it?
It won't be a bare boat charter, ...	will it?
That would suit your requirements, ...	wouldn't it?
That's spelt with two 'c's, ...	isn't it?
That should be possible with a Panamax, ...	shouldn't it?
The ship has to arrive in May, ...	doesn't it
Gladstone. That's in Queensland, ...	isn't it?

Shipping and Maritime Management

The Shipping Markets

Exercise 1

second-hand	ships
confidence	surge
buoyant	prices
freight	rates
market	cycle
sea	transport
different	commodities
cash	inflow

Exercise 2

Demolition market	This market determines the overall supply of vessels. In this market old or obsolete vessels are sold to scrap dealers, thus providing a useful source of cash to the shipowner, especially during recessions.
Sale and purchase market	This market trades in the sale of existing ships or second-hand ships, involving transactions between shipowners.
Newbuilding market	This market determines the overall supply of vessels. New ships are traded involving investments of large sums of money.
Freight market	This market determines the cost and volume of transport. Cargo is traded involving the chartering of ships.

Shipping and Maritime Management

Shipping and the Environment

Exercise 1

- Shipping managers within the European Union believe that the following improvements in transport will reduce costs and save the environment:
a. links between sea and inland waterways.
- Short-sea shipping...
b. has been in existence for hundreds of years, dating back to Roman times.
- Short-sea shipping is a means of transport which will in the future...
b. relieve road congestion within the Community.
- In addition to short-sea shipping, which other important asset does the European Union possess?
c. a dense network of rivers and canals.
- Inland waterway transport is
a. quiet and energy-efficient
- The total number of member states that can use the inland waterway network is
c. twelve
- Inland waterway transport is ideal for the carriage of ...
d. chemicals
- The combination of short-sea shipping and inland waterway transport could
b. relieve traffic on east-west routes.

Exercise 2

- Shipping is friendly to the environment, **transporting** (*transport*) a large volume of cargo in an energy-efficient manner.
- Organisms are spread to new areas, **threatening** (*threaten*) the balance of the original biotype.
- Exhaust gas emissions pollute the air, **discharging** (*discharge*) sulphur and nitrogen oxides along with carbon dioxide and carbon monoxide.
- Larger surge formations pose a threat, **increasing** (*increase*) erosion to sensitive littorals.
- Oil and chemical emissions are discharged, **polluting** (*pollute*) the sea either accidentally or intentionally.
- Solid and liquid waste escapes from the ship, **leaking** (*leak*) into the water.

Exercise 3

environmental	problems
energy-	efficient
gas	emissions
cooling	agents
liquid	waste
ballast	water
surge	formation
noise	pollution
safety	risks
organic	compounds

Shipping is also occasionally guilty of causing **environmental problems**. Shipping is friendlier to the environment than other methods of transport, the reason being that a large volume of cargo can be transported in an **energy-efficient** manner. **Gas emissions** from vessels discharge sulphur and nitrogen oxides into the air. **Cooling agents** are discharged into the air during the loading and unloading of tankers.

Solid and **liquid waste** leak into the water. Organisms are transported in **ballast water**. Increased **surge formation** may increase erosion to sensitive littorals. The growth in **noise pollution** poses another hazard to the environment. Vessels travel at greater speeds thus increasing **safety risks**. Volatile **organic compounds** are also released into the atmosphere as tankers are unloaded.

Shipping and Maritime Management

Sub-Standard Ships

Exercise 1

The **incident** highlights recent concerns over sub-standards ships and serves as a reminder that ship owners and operators need to be familiar with requirements on safety and pollution protection in order to prepare themselves for **Port State Control** (PSC) which is becoming increasingly **widespread** at international level. A spokesman for the International Association of Classification Societies (IACS) said that it is in the interest of owners and managers to be fully prepared for these **inspections**. He added that IACS **checklists** identifying the top 50 most common **causes** of ship detention are now available.

The boxship in question was **insured** by Britannia Steamship for cargo losses and classed by DNV. Hull **cover** is likely to be with Hyundai Marine & Fire Insurance, but a great part of the **risk** will be reinsured out to London and other international markets. The container cargo of a ship of this size would typically be worth \$150m, indicating that the loss could **outstrip** damage to the hull.

Exercise 2

stable	condition
cargo	area
nautical	miles
container	cargo
exclusion	zone
sub-standard	ships
ship	detention
technical	fault

Exercise 3

1. A boxship is also known as a
b. container ship.
2. The aft accommodation lies
a. at the back of the ship, towards the stern.
3. It has recently been revealed that the boxship
d. had previously breached safety regulations.
4. Although the crew members were evacuated from the sinking vessel
c. some of the cargo fell into the sea.
5. It is understood that the cause of the fire was
d. a technical failure.
6. It is now possible to prepare for port state control inspections by
a. consulting a IACS checklist in advance.
7. Losses sustained by damage to the hull
c. were less than the worth of the container cargo.
8. The boxship was insured by
b. Several insurance companies covering different aspects of the vessel.

Shipping and Maritime Management

Interpreting the Shipping Markets

Exercise 1

At the beginning of the year freight rates generally were at an all-time **high**. Younger members of the industry were told by older, wiser colleagues how lucky they were to experience such **high** levels, often seen only once in a lifetime. In the Spring, however, the market **plummeted** displaying all the hallmarks of a classic shipping “**spike**”. By mid-year rates had experienced the biggest ever **fall** in the shipping market with average Capesize rates **collapsing** by almost \$60,000 on a daily basis from the January **peaks**.

No-one had reckoned with China, however, which single-handedly **reversed** the market and **launched** it on a further **upward trajectory**. Imports of iron ore into China **surged** in a period of one month, **rising** 5 Mt between June and July, from 13 Mt to 18 Mt. This was the biggest ever **increase** in demand by one country in a single month, and proved just the tonic that was needed for Capesize owners who had feared the **boom** was short-lived. The sharp **upturn** had an immediate effect on smaller sizes with both Panamax and Handymax rates **responding positively** and immediately **moving upwards**. The **rise** continued **steeply** until the beginning of December setting another record **peak** second only to February's first.

Few owners can be dissatisfied with this year's average rates. Everything considered it was a good twelve months for the record books, with another promising year just round the corner.

Exercise 2

upward turn	dramatic upward turn	downward turn	dramatic downward turn
▲	▲▲	▼	▼▼
rising	surged	reversed	collapsing
increase	sharp upturn	fall	plummeted
boom	steeply		
responding	peak		
positively	“spike”		
rise	launched		
moving upwards	upward trajectory		
reversed			
high			